

Demand-pull and cost-push inflation

The causes of inflation are often ascribed to the overall level of demand (demand-pull) or supply (cost-push). Consider an economy running at close to full capacity and suppose that the demand for goods rises. This extra demand could come from consumers, from the government wanting to spend more money or even from overseas residents demanding more of the country's exports. The economy could not, in the short run, produce many new goods, so the outcome would be too few goods being chased by too much cash, resulting in rising prices.

Another cause of inflation would be if the economy's supply capacity was hindered. This could happen if there were rises in the cost of firms' inputs of raw material and labour. Firms would be unable to maintain the same level of profit at current levels of production and would pass the cost increases on through increased prices. The inflation of the 1970s has been linked in part to the cost-push effects of oil price shocks.

Oil prices, 1970–1985

